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Recycling with the Best

Weekly Ship Recycling Report

09 November - 15 November 2024

Visit : www.best-oasis.com

Email: bol@bol.ae

Head Office: 3201, Saba Tower 1, Cluster E, Jumeirah Lake Towers, Dubai, U.A.E

Contact: +971 4575 4667

Highlights of the week

The Baltic and International Maritime Council (BIMCO) has introduced the Ship Recycling Alliance to advance safe and sustainable ship recycling practices. With founding members from prominent industry organizations in Bangladesh, Türkiye, Pakistan, and India, the alliance seeks to drive the global implementation of the Hong Kong Convention (HKC) for ship recycling. It will work closely with the International Maritime Organization (IMO) and the Basel Convention to ensure cohesive standards for waste management and sustainable recycling processes across the industry.

This week, the ship recycling markets in South Asia and Turkiye remained largely subdued. In India, a brief rise in activity quickly reversed, leaving the market mostly flat, while Bangladesh's market saw little change, maintaining its soft stance with hopes of increased activity in the coming months. Pakistan continued its downward trend, reflecting weak demand, and Türkiye's market declined after weeks of stagnation, driven by reduced imports and local market weakness. Overall, the sentiment across these markets remains cautious, with demand challenges persisting regionally.

Global oil markets are expected to see a surplus of over 1 million barrels per day in 2024 due to slowing Chinese demand and rising production from the US, Brazil, and Canada, the IEA reports. Chinese consumption has declined for six months, driven by economic challenges and a shift to alternative energy. Despite conflicts in the Middle East, crude prices dropped 11% since October due to strong global supplies. This oversupply is likely to keep prices low, reducing exporter revenues and boosting the shift to renewables.

Exchange Rates:

USD / INR ₹

This Week	: 84.42
Previous Week	: 84.37
Lost	: 0.05

USD / BDT ৳

This Week	: 119.54
Previous Week	: 119.36
lost	: 0.18

USD / PKR Rs

This Week	: 277.87
Previous Week	: 277.37
Lost	: 0.50

USD / TRY ₺

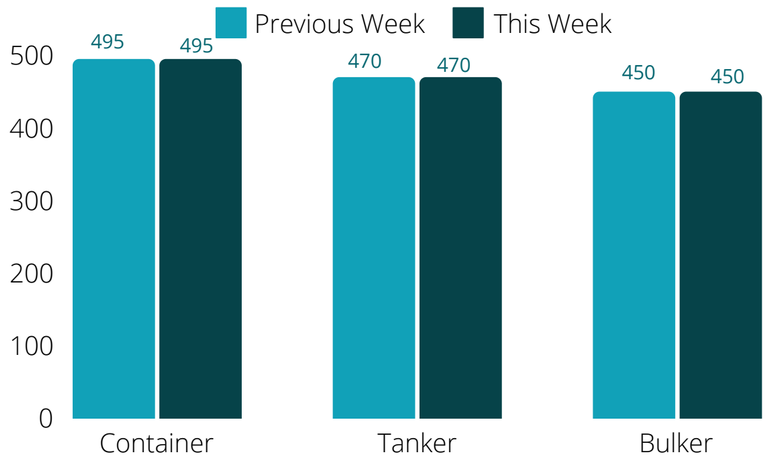
This Week	: 34.42
Previous Week	: 34.33
Lost	: 0.09

India

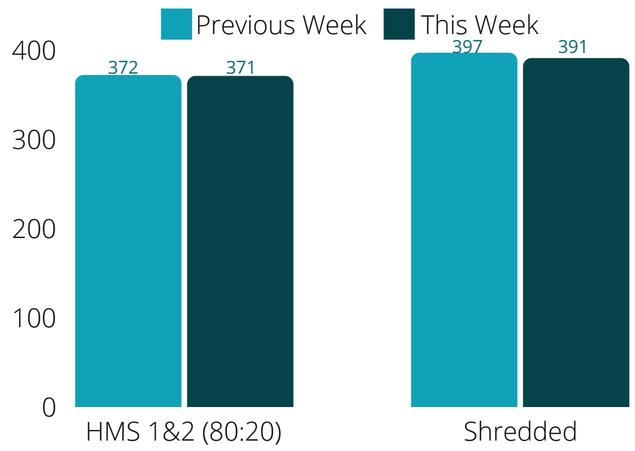
Market struggles to stabilize as low demand undermines recovery efforts.

- The market remained mostly unchanged this week, with a brief rise at the start but declining again later.
- Market participants are trying to stabilize the situation, but persistent low demand continues to disrupt these efforts, preventing sustained improvement.
- India's economic growth outlook is strong, with CRISIL projecting a 7 trillion economy by 2031 at an average growth rate of 6.7%, S&P expecting 6.5-7% growth through 2027, and Moody's, aligning with RBI, forecasting 7.2% GDP growth for FY 2024-25. Growth drivers include infrastructure investments, private consumption, and moderating inflation.

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Beaching Dates

15 November to 21 November 2024

29 November to 07 December 2024

12 December to 20 December 2024

Bangladesh

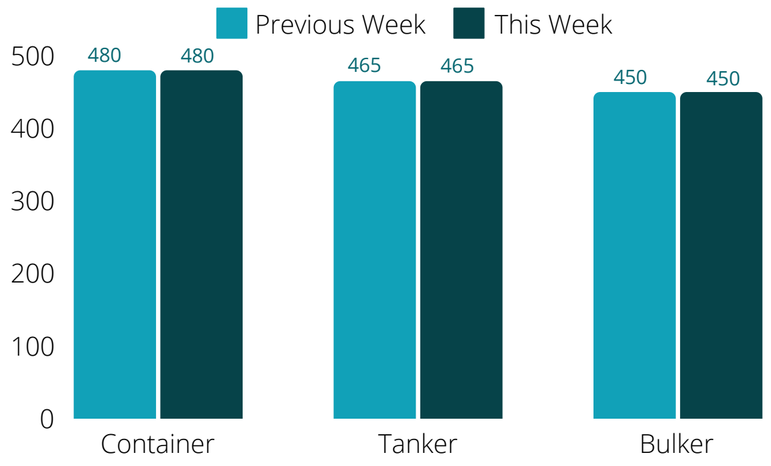
Market stays subdued, anticipating a year-end rebound driven by seasonal trends.

- The Bangladesh ship recycling market remains soft, with no significant aggressive sales activity observed this week, maintaining the previous trend.
- Potential demand is anticipated in the coming months, as November and December typically see activity driven by year-end dynamics and bank-related purchases.
- Buyers' actions will depend heavily on price levels. If prices remain high, significant market movement is unlikely.
- Bangladesh Bank has introduced a framework allowing industrial imports without traditional LCs, using letters of agreement or short-term loans, benefiting specialized economic zones. A separate notice mandates banks to clear unpaid import bills, ensure credit lines, and maintain cash flow, warning of penalties for delays to protect the country's global financial reputation.

Beaching Dates

15 November to 17 November
30 November to 03 December
14 December to 03 December

Price for Recycling Ships in Bangladesh



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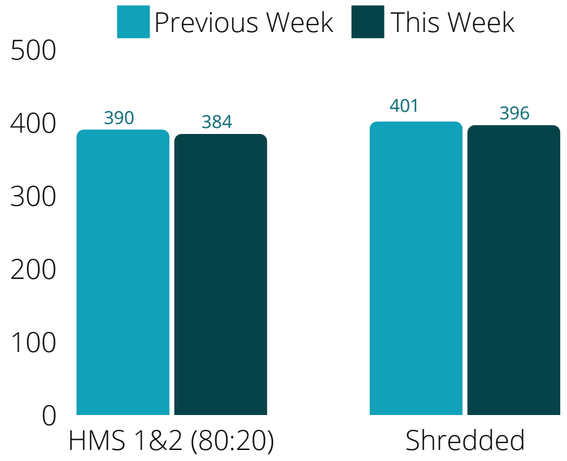


Pakistan

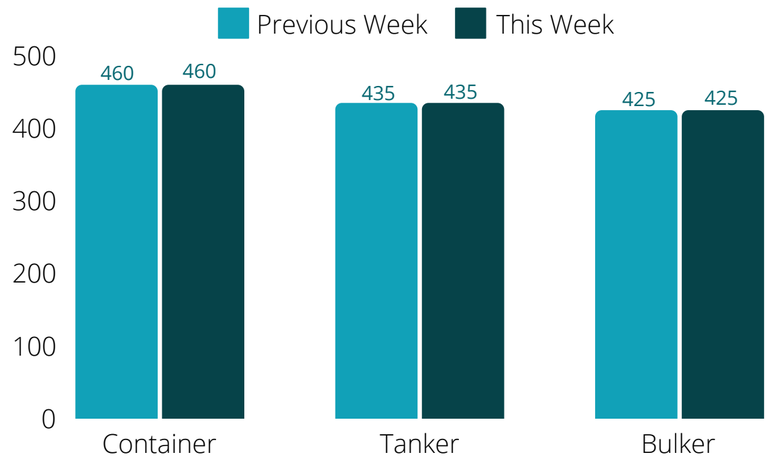
Local market extends downward trend as overall sentiment remains unchanged.

- The overall sentiment remained unchanged from the previous week, with the local market in continuing its downward trend.
- Pakistan Steel Mills (PSM) is set to be the focus of discussions between Pakistan and Russia next week for its revival. Alongside this, efforts are being made to strengthen collaboration in health, education, and culture, aiming to boost the local economy and foster bilateral ties.
- Pakistan's debt-to-GDP ratio dropped to 65.7% in September 2024, reversing last year's upward trend and reflecting improved fiscal management. While domestic debt rose to PKR 47.536 trillion over the year, the modest increase of PKR 376 billion since June signals controlled borrowing. Sustained growth and prudent policies remain essential to address the high overall debt.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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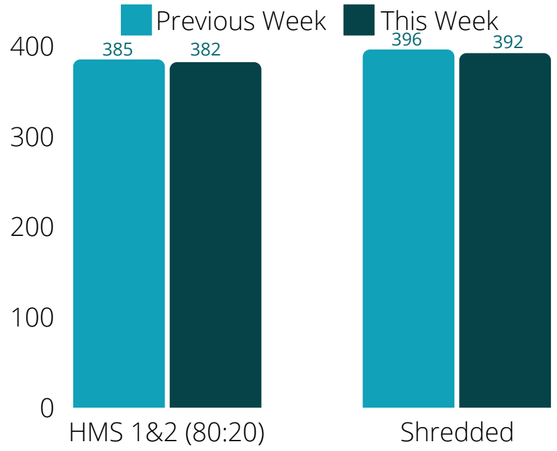


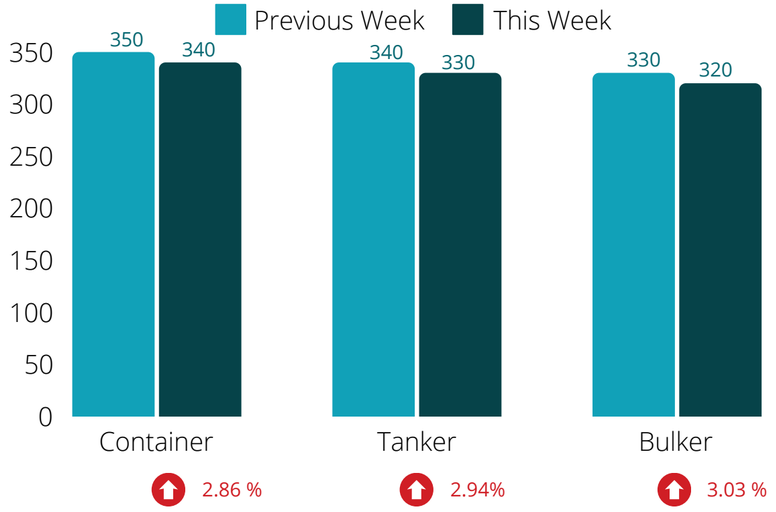
Türkiye

The local market slumps amid stagnation and declining imports.

- The market declined after weeks of stagnation, driven by reduced imports and a weakening local market.

- Türkiye is expected to see economic recovery in the second half of next year, as per government statements, with administered prices aligned to inflation targets within budget constraints. Efforts are focused on sustainable growth and equitable income distribution through a rule-based program.

Price for Recycling Ships in Türkiye



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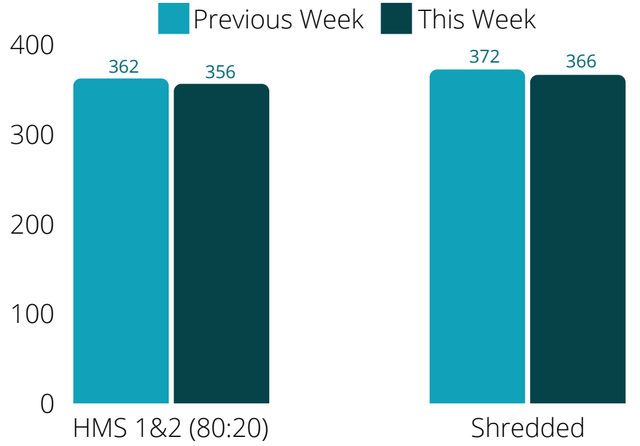
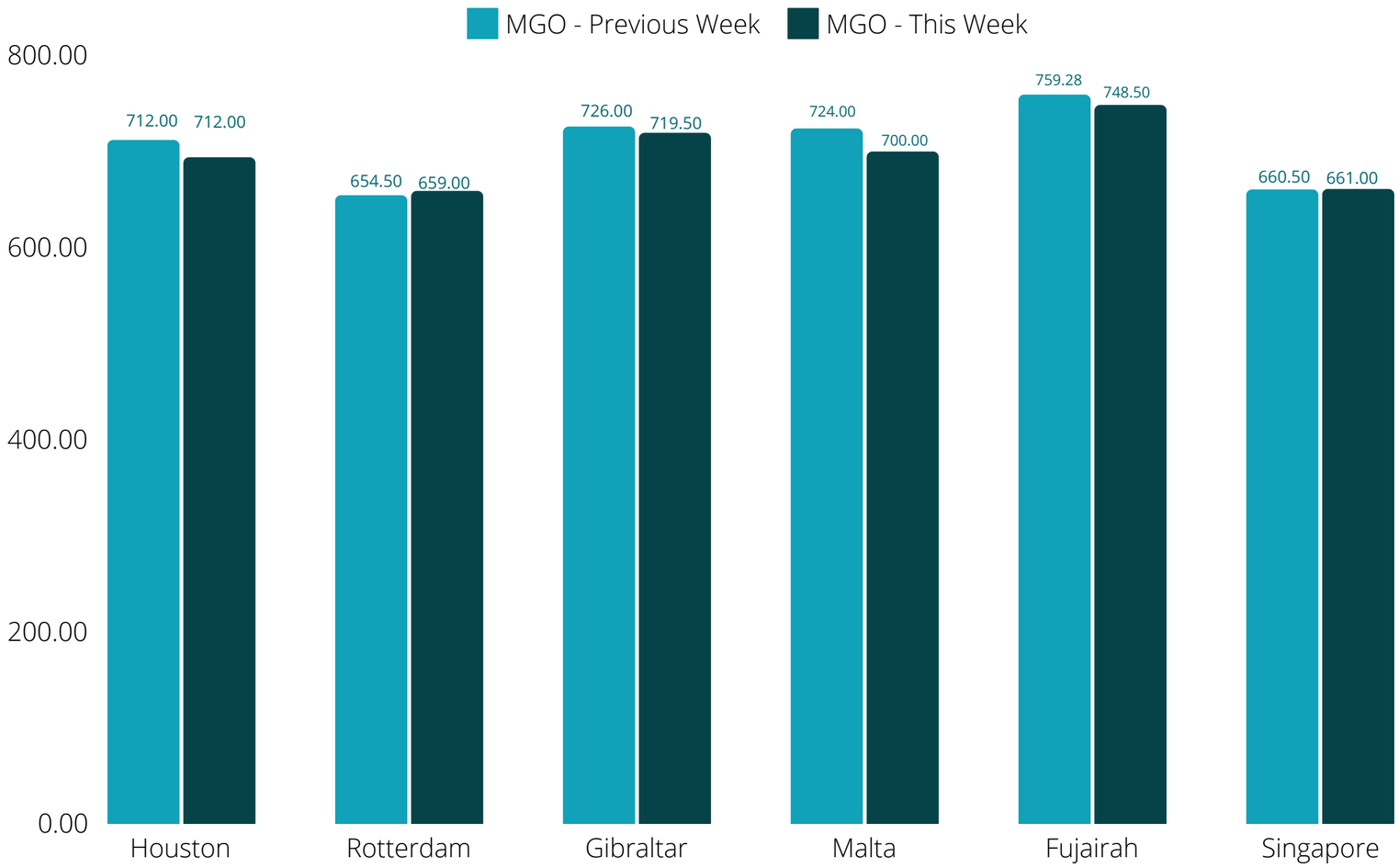


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 72.35
Previous Week	: 74.26
Movement	: - 1.91

WTI Crude

This Week	: 68.70
Previous Week	: 71.08
Movement	: - 2.38

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
MSC RAFAELA	CONTAINER	9129885	1996	ITALY	16,824	DELIVERED	ALANG, INDIA	510 (BUNKER ROB)
CHANG FEI HAI	GENERAL CARGO SHIP	9353400	2005	CHINA	2,743	DELIVERED	(YARDS AS PER MSC LIST) CHITTAGONG,BANGLADESH	UNDISCLOSED
YUN DA HAI	GENERAL CARGO SHIP	1086843	2005	CHINA	2,881	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
CHUN CHAO 9	GENERAL CARGO SHIP	1077189	2006	CHINA	2,736	DELIVERED	CHITTAGONG,BANGLADESH	UNDISCLOSED
WIND	GENERAL CARGO SHIP	9126704	1997	CHINA	2,489	DELIVERED	ALANG, INDIA	UNDISCLOSED
SK SUMMIT	LNG TANKER	9157624	1999	SOUTH KOREA	29,970	AS-IS	SINGAPORE	469.5
SK SUPREME	LNG TANKER	9157739	2000	SOUTH KOREA	29,017	AS-IS	SINGAPORE	469.5
SK SPLENDOR	LNG TANKER	9180231	2000	SOUTH KOREA	29,182	AS-IS	SINGAPORE	469.5
SK STELLAR	LNG TANKER	9180243	2000	SOUTH KOREA	29,202	AS-IS	SINGAPORE	469.5

Contact Us

Germany

Mr. Gerd Leopold
S&P Consultant

Phone: +49 417 188 0204
Mobile: +49 172 370 1021

Greece

Mr. Yiannis Kourkoulis
Vice President purchase

Phone: +30 210 0101 450

Mobile: +30 694 258 3977

Ms. Irini Mylona
Commercial Executive

Phone: +30 210 0101 450
Mobile: +30 694 484 3136

South Korea

Mr. Jason K.M. Byun
Company Representative

Phone: +82 010 6282 0121

U.A.E.

Mr. Naren Sampath
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 55 836 9147

Mr. Asif Ali
Ship Broker - Purchase

Phone: +971 4575 4667
Mobile: +971 58 645 0162

China

Mr. Xinchen Xu
Company Representative

Mobile: +86 136 6600 0719

Japan

Mr. T Ishii
Company Representative

Work: +81 354 522 405
Mobile: +81 901 536 1497

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